

Infosys LTD - one page company profile



Infosys Limited is an Indian multinational technology company that offers information technology, business consulting, and outsourcing services. Founded in 1981 by seven engineers, the company is headquartered in Bengaluru and considered one of the Big Six Indian IT companies. Infosys offers software development, maintenance, and independent validation services across industries such as finance, insurance, manufacturing, among others.

INR (In Crs)

Key Financial Metrics	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Total Revenue	85,557	93,594	1,02,673	1,23,936	1,49,468
YOY Growth in Revenue	16%	9%	10%	21%	21%
EBITDA Margin (%)	26.9%	26.8%	29.3%	27.3%	25.3%
EBIT Margin (%)	24.6%	23.7%	26.1%	24.5%	22.5%
Net Profit Margin (%)	18.0%	17.7%	18.8%	17.8%	16.1%
Earning Per Share (in Rs)	35	39	46	52	58

Key Financial Ratios	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
ROE	24%	25%	27%	29%	32%
ROCE	32%	33%	35%	37%	41%
Cash Ratio	1.41	1.12	1.13	0.72	0.49
Financial Leverage Ratio	1.29	1.39	1.40	1.54	1.64
Asset Turnover Ratio	1.05	1.06	1.03	1.11	1.24
Net Operating Cycle (CCC)	8.8	-18.0	-14.7	-1.9	-1.0

Key Takeaways:

- Despite the COVID Pandemic, revenue growth is constant and increased.
- Net operating cycle has improved in 2020 & 2021 indicating improvement in working capital management.
- Improvement in Free cash flow in 2021 achieving a significant milestone.
- Rising asset turnover ratio alongside declining capex reflects Infosys's asset-light scalable business generating higher revenues per unit of assets deployed.
- Consistently low debt to equity ratio reflects a largely debt free balance sheet, reducing Financial risk and interest burden - providing stability during economic downturns.

Key Risks:

- With work-from-home cutting costs unsustainably, margins were partly artificial. The company flagged that as travel and offices resumed, costs would come back and they did.
- EBITDA Margin declined at 27.3% & 25.35% in 2022 & 2023 respectively as salary hikes and massive hiring drove up Employee Costs.
- Declining defensive interval in FY22-23 suggests a reduced liquidity buffer, elevating short-term liquidity risk in the event of any unexpected cash flow disruption.

